SUBSTITUTE FOR

SENATE BILL NO. 966

A bill to amend 1966 PA 346, entitled

"State housing development authority act of 1966,"

by amending section 22 (MCL 125.1422), as amended by 2012 PA 327, and by adding section 22e.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

Sec. 22. The authority possesses all powers necessary or convenient to carry out this act, including the following powers in addition to other powers granted by other provisions of this act:

(a) To sue and to be sued; to have a seal and to alter the seal at pleasure; to have perpetual succession; to make and execute contracts and other instruments necessary or convenient to the exercise of the powers of the authority; and to make, amend, and repeal bylaws and rules.

(b) To undertake and carry out studies and analyses of housing needs within this state and ways of meeting those needs, including data with respect to population and family groups, the distribution of population and family groups according to income, and the amount and quality of available housing and its distribution according to rentals and sales prices, employment, wages, and other factors affecting housing needs and the meeting of housing needs; to make the results of those studies and analyses available to the public and the housing and supply industries; and to engage in research and disseminate information on housing.

(c) To agree and comply with conditions attached to federal financial assistance.

(d) To survey and investigate housing conditions and needs, both urban and rural, throughout this state and make recommendations to the governor and the legislature regarding legislation and other measures necessary or advisable to alleviate any existing housing shortage in this state.

(e) To establish and collect fees and charges in connection with the sale of the authority's publications and the authority's loans, commitments, and ~~servicing,~~ **services**, including, but not limited to, the reimbursement of costs of financing by the authority, service charges, and insurance premiums as the authority determines to be reasonable and as approved by the authority. Fees and charges ~~shall~~ **must** be determined by the authority and ~~shall~~ **are** not ~~be~~ considered to be interest. The authority may use any accumulated fees and charges and interest income for achieving any of the corporate purposes of the authority, to the extent that the fees, charges, and interest income are not pledged to the repayment of bonds and notes of the authority or the interest on those bonds and notes.

(f) To encourage community organizations to assist in initiating housing projects as provided in this act.

(g) To encourage the salvage of all possible usable housing scheduled for demolition because of highway, school, urban renewal, or other programs by seeking authority for the sponsors of the programs to use funds provided for the demolition of the buildings, to be allocated to those sponsors approved by the authority to defray moving and rehabilitation costs of the buildings.

(h) To engage and encourage research in, and to formulate demonstration projects to develop, new and better techniques and methods for increasing the supply of housing for persons eligible for assistance as provided in this act; and to provide technical assistance in the development of housing projects and in the development of programs to improve the quality of life for all the people of this state.

(i) To make or purchase loans, including loans for condominium units as **that term is** defined in section 4 of the condominium act, 1978 PA 59, MCL 559.104, and ~~including~~ loans to mortgage lenders ~~,~~ ~~which~~ **that** are unsecured or the repayments of which are secured by mortgages, security interests, or other forms of security; to purchase and enter into commitments for the purchase of securities, certificates of deposits, time deposits, or mortgage loans from mortgage lenders; to participate in the making or purchasing of unsecured or secured loans and undertake commitments to make, **guarantee**, or purchase unsecured or secured loans; to sell mortgages, security interests, notes, and other instruments or obligations evidencing or securing loans, including certificates evidencing interests in 1 or more loans, at public or private sale;

in connection with the sale of an instrument or obligation evidencing or securing 1 or more loans, to service, guarantee payment on, or repurchase the instrument or obligation, whether or not it is in default; to modify or alter mortgages and security interests; to foreclose on any mortgage, security interest, or other form of security; to finance housing units; to commence an action to protect or enforce a right conferred upon the authority by law, mortgage, security agreement, contract, or other agreement; to bid for and purchase property that was the subject of the mortgage, security interest, or other form of security, at a foreclosure or at any other sale, and to acquire or take possession of the property. Upon acquiring or taking possession of the property, the authority may complete, administer, and pay the principal and interest of obligations incurred in connection with the property, and may dispose of and otherwise deal with the property in any manner necessary or desirable to protect the interests of the authority in the property. If the authority or an entity that provides mortgage insurance to the authority acquires property ~~upon~~ **on** the default of a borrower, the authority may make a mortgage loan to a subsequent purchaser of that property even if the purchaser does not meet otherwise applicable income limitations and purchase price limits.

(j) To set standards for housing projects that receive loans under this act and to provide for inspections to determine compliance with those standards. The standards for construction and rehabilitation of mobile homes, mobile home parks, and mobile home condominium projects shall be established jointly by the authority and the mobile home commission, created in section 3 of the mobile home commission act, 1987 PA 96, MCL 125.2303. However, financing standards shall be established solely by the authority.

(k) To accept gifts, grants, loans, appropriations, or other aid from the federal, state, or local government, from a subdivision, agency, or instrumentality of a federal, state, or local government, or from a person, corporation, firm, or other organization.

(*l*) To acquire or contract to acquire from a person, firm, corporation, municipality, or federal or state agency, by grant, purchase, or otherwise, leaseholds or real or personal property, or any interest in a leasehold or real or personal property; to own, hold, clear, improve, and rehabilitate and to sell, assign, exchange, transfer, convey, lease, mortgage, or otherwise dispose of or encumber any interest in a leasehold or real or personal property. This act shall not impede the operation and effect of local zoning, building, and housing ordinances, ordinances relating to subdivision control, land development, or fire prevention, or other ordinances having to do with housing or the development of housing.

(m) To procure insurance against any loss in connection with the property and other assets of the authority.

(n) To invest, at the discretion of the authority, funds held in reserve or sinking funds, or money not required for immediate use or disbursement, in obligations of this state or of the United States, in obligations the principal and interest of which are guaranteed by this state or the United States, or in other obligations as may be approved by the state treasurer.

(o) To promulgate rules necessary to carry out the purposes of this act and to exercise the powers expressly granted in this act ~~pursuant to~~ **under** the administrative procedures act of 1969, 1969

PA 306, MCL 24.201 to 24.328.

(p) To enter into agreements with nonprofit housing corporations, consumer housing cooperatives, limited dividend housing corporations, mobile home park corporations, and mobile home park associations that provide for regulation by the authority of the planning, development, and management of any housing project undertaken by nonprofit housing corporations, consumer housing cooperatives, limited dividend housing corporations, mobile home park corporations, and mobile home park associations and that provide for the disposition of the property and franchises of those corporations, cooperatives, and associations.

(q) To appoint to the board of directors of a nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association, a number of new directors sufficient to constitute a majority of the board notwithstanding other provisions of the articles of incorporation or other provisions of law. Directors appointed under this subsection need not be stockholders or members or meet other qualifications that may be described by the certificate of incorporation or bylaws. In the absence of fraud or bad faith, directors appointed under this subsection shall not be personally liable for debts, obligations, or liabilities of the corporation or association. The authority may appoint directors under this subsection only if 1 or more of the following occur:

(*i*) The nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association has received a loan or advance, as provided for in this act, and the authority determines that the loan or advance is in jeopardy of not being repaid.

(*ii*) The nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association received a loan or advance as provided for in this act and the authority determines that the proposed housing project for which the loan or advance was made is in jeopardy of not being constructed.

(*iii*) The authority determines that ~~some~~ **any of the following apply**:

(A) Some part of the net income or net earnings of the nonprofit housing corporation is inuring to the benefit of a private individual, firm, corporation, partnership, or association. ~~; the authority determines that an~~

(B) An unreasonable part of the net income or net earnings of the consumer housing cooperative is inuring to the benefit of a private individual, firm, corporation, partnership, or association. ~~; or the authority determines that some~~

(C) Some part of the net income or net earnings of the limited dividend housing corporation, in excess of that permitted by other provisions of this act, is inuring to the benefit of a private individual, firm, corporation, partnership, or association.

(*iv*) The authority determines that the nonprofit corporation or consumer housing cooperative is in some manner controlled by, under the direction of, or acting in the substantial interest of a private individual, firm, corporation, partnership, or association seeking to derive benefit or gain from, or seeking to eliminate or minimize losses in any dealings or transactions with, the nonprofit corporation or consumer housing cooperative. ~~However, this~~ **This** subparagraph ~~shall apply~~ **applies** to individual cooperators in consumer housing cooperatives only in circumstances defined by the authority in its rules.

(*v*) The authority determines that the nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association is in violation of the rules promulgated under this section.

(*vi*) The authority determines that the nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association is in violation of 1 or more agreements entered into with the authority that provide for regulation by the authority of the planning, development, and management of a housing project undertaken by the nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association or that provide for the disposition of the property and franchises of the corporation, cooperative, or association.

(r) To ~~give approval~~ **approve** or consent to ~~the~~ **any of the following:**

***(i)* The** articles of incorporation submitted to the authority by a corporation seeking approval as a nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, or mobile home park corporation under chapter 4, 5, 6, or 8. ~~; to give approval or consent to the~~

***(ii)* The** partnership agreement, joint venture agreement, trust agreement, or other document of basic organization of a limited dividend housing association under chapter 7 or mobile home park association under chapter 9.

(s) To engage the services of private consultants on a contract basis for rendering professional and technical assistance and advice.

(t) To lease real or personal property, **to operate as the sole statewide public housing agency**, and to accept federal funds for, and participate in, federal programs of housing assistance. **As used in this subdivision, "public housing agency" means that term as defined under 42 USC 1437a.**

(u) To review and approve rental charges for authority-financed housing projects and require whatever changes the authority determines to be necessary. The changes ~~shall become~~ **are** effective ~~after~~ not less than 30 ~~days'~~ **days after** written notice is given to the residents of the affected authority-financed housing projects.

(v) To set forth in the various loan documents of the authority those restrictions on the sale, conveyance by land contract, or transfer of residential real property, housing projects, or housing units for which a note is held by the authority and restrictions on the assumption by subsequent purchasers of loans originated by and held by, or originated for purchase by and held by, the authority as the authority determines to be necessary in order to comply with requirements of federal statutes, federal rules or regulations promulgated under 5 USC 551 to 559, state statutes, or state rules promulgated under the administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328, or to obtain and maintain the tax exempt status of authority bonds and notes. ~~However, the~~ **The** authority shall not use a due on sale or acceleration clause solely for the purpose of renegotiating the interest rate on a loan made with respect to an owner-occupied single-family housing unit. Without limiting the authority's power to establish other restrictions, as provided in this section, on the sale, conveyance by land contract, or transfer of residential real property, housing projects, or housing units for which a note is held by the authority and the assumption by subsequent purchasers of loans made or purchased by the authority, the authority shall provide in its loan documents relating to a single family loan that the single family loan may be assumed by a new purchaser only when the new purchaser qualifies under the authority income limitations rules, unless such a restriction diminishes or precludes the insurance or a guarantee by an agency of the federal government with respect to the single family loan. A loan made for a mobile home that the borrower does not intend to permanently affix to real property shall become immediately due and payable if the mobile home is moved out of the state. Any restrictions on conveyance by sale, conveyance by land contract, or transfer that are authorized in this section ~~shall~~ apply only to loans originated by and held by, or originated for purchase by and held by, the authority and may, at the option of the authority, be enforced by accelerating and declaring immediately due and payable all sums evidenced by the note held by the authority. An acceleration and declaration of all sums to be due and payable on conveyance by sale, land contract, or transfer is not an unreasonable restraint on alienation. An acceleration and declaration, unless otherwise prohibited in this subdivision, of all sums to be due and payable under this subdivision is enforceable in any court of competent jurisdiction. This subdivision ~~is applicable~~ **applies** to secured and unsecured loans ~~.~~ ~~This subdivision is also applicable to~~ **and** loan documents utilized in conjunction with an authority-operated program of residential rehabilitation by an entity cooperating or participating with the authority under section 22a(4), if the loans are originated with the intent to sell those loans to the authority.

(w) To set forth in the various loan documents of the authority remedies for the making of a false statement, representation, or pretense or a material misstatement by a borrower during the loan application process. Without limiting the authority's power to pursue other remedies, the authority shall provide in its loan documents that, if a borrower makes a false statement, representation, or pretense or a material misstatement during the loan application process, the authority, at its option, may accelerate and declare immediately due and payable all sums evidenced by the note held by the authority. An acceleration and declaration of all sums to be due and payable as provided in this subdivision is enforceable in any court of competent jurisdiction. This subdivision ~~is applicable~~ **applies** to secured and unsecured loans.

(x) To collect interest on a real estate loan, the primary security for which is not a first lien on real estate, at the rate of 15% or less per annum on the unpaid balance. This subdivision does not impair the validity of a transaction or rate of interest that is lawful ~~without regard to~~ **notwithstanding** this subdivision.

(y) To encourage and engage or participate in programs to accomplish the preservation of housing in this state available for occupancy by persons and families of low or moderate income.

(z) To verify for the state treasurer statements submitted by a city, village, township, or county as to exempt properties under section 7d of the general property tax act, 1893 PA 206, MCL 211.7d.

(aa) For the purpose of more effectively managing its debt service, to enter into an interest rate exchange or swap, hedge, or similar agreement with respect to its bonds or notes on the terms and payable from the sources and with the security, if any, as determined by a resolution of the authority.

(bb) To make working capital loans to contractors or subcontractors on housing projects financed by the authority. The authority shall submit an annual report to the legislature containing the amount, recipient, duration, circumstance, and other related statistics for each capital loan made to a contractor or subcontractor under this subdivision. The authority shall include in the report statistics related to the cost of improvements made to adapt property for use by disabled individuals as provided in section 32b or 44.

(cc) Subject to rules of the civil service commission, to adopt a code of ethics with respect to its employees that requires disclosure of financial interests, defines and precludes conflicts of interest, and establishes reasonable post-employment restrictions for a period of up to 1 year after an employee terminates employment with the authority.

(dd) To impose covenants running with the land in order to satisfy requirements of applicable federal law with respect to housing assisted or to be assisted through federal programs such as the low income housing tax credit program or the home investment partnerships program. These covenants shall be imposed by executing and recording regulatory agreements between the authority, or a municipality or other entity designated by the authority, and the person or entity to be bound. The covenants shall run with the land and be effective with respect to the parties making the covenants and other intended beneficiaries of the covenants, even though there is no privity of estate or privity of contract between the authority and the persons or entities to be bound.

(ee) To impose covenants running with the land in order to satisfy requirements of applicable state or federal law with respect to housing financed by the authority. These covenants shall be imposed by executing and recording regulatory agreements between the authority and the person or entity to be bound. The covenants shall run with the land and be effective with respect to the parties making the covenants and other intended beneficiaries of the covenants, even though there is no privity of estate or privity of contract between the authority and the persons or entities to be bound. With respect to any applicable environmental laws, this subdivision does not grant to the authority any additional rights, privileges, or immunities not otherwise afforded to a private lender that is not in the chain of title for the land.

(ff) To participate in programs designed to assist persons and families whose incomes do not exceed 115% of the greater of statewide median gross income or the area median gross income become homeowners where loans are made by private lenders for purchase by the government national mortgage association, federal national mortgage association, federal home loan mortgage corporation, or other federally chartered organizations. Participation may include providing or funding homeownership counseling and providing some or all of a reserve fund to be used to pay for losses in excess of insurance coverage.

(gg) To invest, under the conditions prescribed in this subdivision and without the consent of the escrow depositors, up to 20% of funds held, by or for the authority, in escrow accounts for the benefit of the authority or mortgagors of authority-financed housing. The investments under this subdivision shall be made in loans originated or purchased by the authority for construction or rehabilitation of multifamily housing developments for occupancy by persons or families without regard to income. In connection with loans described in this subdivision, the authority may charge and retain fees in amounts similar to those charged with respect to similar loans for which the source of funding does not come from escrow accounts. For purposes of this subdivision, "escrow account" means any account or reserve held by the authority and established in a mortgage or a regulatory agreement to which the authority is a party or which has been assigned to the authority. ~~However, for~~ **For** purposes of this subdivision, escrow account does not include any account labeled in the associated regulatory agreement as "development cost escrow principal" or "operating assurance reserve". For purposes of this subdivision, "multifamily housing development" means a development in which not less than 50% of the floor space is used primarily for residential purposes. The investment authorized by this subdivision shall not be made unless both of the following requirements are met:

(*i*) The return on the loan is approximately equivalent to that which could be obtained from investments of substantially similar credit quality and maturity, as determined by the authority.

(*ii*) The authority agrees to pay with its own funds the principal balance of any loan, made with the escrow funds, that becomes delinquent in excess of 30 days. This subdivision does not obligate the authority to purchase a delinquent loan so long as with respect to that loan the authority pays to the escrow funds from its own funds the amount of the delinquent payments. The authority's election to pay the delinquent payments to the escrow funds does not in any manner abate or cure the delinquency of the loan and the authority may resort to any remedies that would exist in the absence of that payment.

(hh) To acquire, develop, rehabilitate, own, operate, and enter into contracts with respect to the management and operation of real and personal property to use as office facilities by the authority and to enter into leases with respect to facilities not immediately necessary for the activities of the authority.

(ii) To make loans to certain qualified buyers and resident organizations and to make grants to resident organizations as provided in the following:

(*i*) The urban homestead act, 1999 PA 127, MCL 125.2701 to 125.2709.

(*ii*) The urban homesteading on vacant land act, 1999 PA 129, MCL 125.2741 to 125.2748.

(*iii*) The urban homesteading in single-family public housing act, 1999 PA 128, MCL 125.2761 to 125.2770.

(*iv*) The urban homesteading in multifamily public housing act, 1999 PA 84, MCL 125.2721 to 125.2734.

(jj) To implement and administer a housing and community development program as described in this act.

(kk) To implement, administer, or execute administrative, substantive, or supervisory powers ~~pursuant to~~ **under** the individual or family development account program act, 2006 PA 513, MCL 206.901 to 206.911.

(*ll*) To establish, implement, and administer the state low-income housing tax credit program under section 22e.

Sec. 22e. (1) Except as otherwise provided under this section,

the authority, upon allocating a federal credit under section 22b and issuing a binding reservation or letter of eligibility, under the authority's qualified allocation plan, for a qualified low-income building that is located in this state and placed in service on or after January 1, 2027, may reserve a state tax credit under this section for the project owners so long as the amount of the state tax credit reserved does not exceed the annual credit cap under subsection (3).

(2) Subject to subsection (3), the authority shall send written notice of the reservation to each project owner. The notice must state the aggregate reserved credit amount for all years of the qualified project's credit period and stipulate that for purposes of the state tax credit only the exception under section 42(h)(6)(E)(i)(II) of the internal revenue code, 26 USC 42, does not apply and receipt of that credit is contingent upon issuance of an eligibility certificate and the filing of the information described in subsection (11). Upon receipt of the reservation notice, the owner shall provide the identity of the owner's designated reporter to the authority.

(3) The authority shall determine the reserved credit amount for each qualified project. The authority shall give preference to qualified projects for which the project owner certifies that at least 50% of the cost of building components used in the construction or rehabilitation of any qualified low-income building that is a part of the qualified project are manufactured in this state. The reserved credit amount must not exceed the amount necessary, when combined with the federal credit, to ensure the financial feasibility of the qualified project. The authority shall reserve credits in a manner that ensures that a qualified project

is creating additional housing units or preserving existing housing units. The authority may assess application, processing, and reporting fees to cover the cost of administering the state low-income housing tax credit program under this section. The aggregate amount of state tax credits reserved by the authority under this section in a calendar year must not exceed the sum of the following:

(a) Except as otherwise provided under this subdivision, beginning with the 2027 calendar year, $250,000,000.00. For the 2028 calendar year and each calendar year after 2028, the amount under this subdivision must be adjusted annually by the percentage increase in the United States Consumer Price Index for the immediately preceding calendar year.

(b) The amount, if any, by which the credit cap prescribed by this subsection for the preceding calendar year exceeds the state tax credits reserved by the authority in that year.

(c) The amount of state tax credits recaptured or otherwise disallowed under subsection (9) in the preceding calendar year.

(4) For the purpose of computing and determining compliance with the credit cap prescribed under subsection (3), the state tax credit amount reserved for the project owners of a qualified project is the full amount for all years of the qualified project's credit period. Immediately after approving the final cost certification for a qualified project for which a state tax credit under this section is reserved, or upon otherwise determining the qualified basis of the qualified project and the date it was placed into service as required by section 42(m) of the internal revenue code, 26 USC 42, the authority shall compute the annual credit amount and issue an eligibility certificate to each project owner.

The director shall send copies of all eligibility certificates issued each calendar year to the department of treasury and the department of insurance and financial services. The annual credit amount authorized under this section must be equal to the lesser of the following:

(a) The amount of the federal credit that would be awarded to the project owners for the first year of the credit period if not for the adjustment required under section 42(f)(2) of the internal revenue code, 26 USC 42.

(b) One sixth of the reserved credit amount stated in the notice issued under subsection (1).

(5) Each eligibility certificate must state the annual credit amount, the years that comprise the credit period, the name, address, and taxpayer identification number of each project owner, each owner's designated reporter, the date the certificate is issued, a unique identifying number, and any additional information prescribed by a rule under subsection (10). A project owner, if the project owner is a flow-through entity, shall provide a copy of the eligibility certificate and any information described in subsection (11) to each equity owner that has been allocated a credit under subsection (6), if requested.

(6) For each year of a qualified project's credit period, the project owner or an equity owner may claim a state tax credit against the applicable tax equal to all or a portion of the annual credit amount stated on the eligibility certificate. The credit must be claimed in the manner prescribed by section 279, 679, 821, or 476a of the applicable tax, whichever is applicable. If a project owner is a flow-through entity, the annual credit amount for any year of a qualified project's credit period may be

allocated by the project owner among 1 or more equity owners and may be applied by those equity owners against more than 1 applicable tax, but the total credits claimed in connection with that year of the qualified project's credit period by all project owners and equity owners against all taxes must not exceed the annual credit amount stated on the eligibility certificate. A project owner or equity owner may claim the credit authorized by this section after the date the qualified project is placed into service but not before the director issues the project owner an eligibility certificate under subsection (4) and the applicable report required by subsection (11) is filed by the designated reporter. A project owner or equity owner that claims a state tax credit under an applicable tax shall submit a copy of the eligibility certificate with the project owner's or equity owner's annual tax return filed under the applicable tax.

(7) A project owner that is a pass-through entity may allocate the credit authorized by this section to its equity owners under subsection (6) in any manner agreed to by its members regardless of whether such equity owners are eligible for an allocation of the federal credit, whether the allocation of the credit under the terms of the agreement has substantial economic effect within the meaning of section 704(b) of the internal revenue code, 26 USC 704, and whether any such person is deemed a partner of the project owner or equity owner for federal income tax purposes as long as the equity owner acquired its ownership interest prior to claiming the credit. The allocation is allowed without regard to any provision of the internal revenue code or regulation promulgated under the internal revenue code, that may be interpreted as contrary to the allocation, including, without limitation, the

treatment of the allocation as a disguised sale.

(8) An equity owner may assign all or any part of its interest in a qualified project, including its interest in the state tax credits reserved under this section, to 1 or more other equity owners, and each assignee is able to claim the state tax credit so long as the assignee's interest is acquired prior to the filing of its annual return or amended return under the applicable tax claiming the credit and the assignee's ownership interest is identified in the report required under subsection (11). Nothing in this section or section 279, 679, 821, or 476a of the applicable tax allows the assignment or transfer of any carryforward of the state tax credit authorized under this section once the annual credit amount is claimed.

(9) If any portion of the federal credit allocated to a qualified project is recaptured under section 42(j) of the internal revenue code, 26 USC 42, or is otherwise disallowed, the authority shall recapture a proportionate amount of the state tax credit claimed under this section in connection with the same qualified project. If the authority determines to recapture such a state tax credit, the authority shall certify the name of each project owner and the amount to be recaptured to the state treasurer and to the director of the department of insurance and financial services. The state treasurer and the director of the department of insurance and financial services shall determine the taxpayer or taxpayers that claimed the credit, the tax against which the credit was claimed, and the amount to be recaptured and make an assessment against the taxpayer or taxpayers under the applicable tax for the amount of the state tax credit to be recaptured. The statute of limitations on assessments under the applicable tax acts does not bar an

assessment made under this subsection.

(10) The authority, in consultation with the department of treasury and the department of insurance and financial services, may promulgate rules, in accordance with the administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328, necessary to implement this section.

(11) For each calendar year, a designated reporter shall provide the department of treasury, in the form prescribed by the state treasurer in consultation with the director of the department of insurance and financial services, all of the following:

(a) The name, address, and taxpayer identification number of each project owner and equity owner that has been allocated a portion of the annual credit awarded on the eligibility certificate for that year.

(b) The amount of the annual credit allocated to each project owner and equity owner for the calendar year and the applicable tax against which the credit will be claimed.

(c) The total of the amounts listed for each project owner and equity owner under subdivision (b), demonstrating that the total does not exceed the amount listed on the eligibility certificate for that calendar year.

(12) A designated reporter shall notify the department of treasury of any changes to the information reported under subsection (11) in the time and manner prescribed by the department of treasury.

(13) The department of treasury shall provide a copy of the report, and any subsequent changes to the report, submitted by the designated reporter under subsection (12) to the director of the department of insurance and financial services in the time and

manner agreed to by the state treasurer and the director of the department of insurance and financial services.

(14) As used in this section:

(a) "Annual credit amount" means the amount computed by the authority under subsection (4) prior to issuing an eligibility certificate.

(b) "Applicable tax" means a tax imposed under the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.847, or under section 476a of the insurance code of 1956, 1956 PA 218, MCL 500.476a.

(c) "Building components" means manufactured products and construction materials used in the construction or rehabilitation of a qualified project, including, but not limited to, steel, iron, lumber, drywall, insulation, and heating, ventilation, and cooling systems.

(d) "Credit period" means, with respect to any building, the period of 6 taxable years beginning with either the taxable year in which the building is placed in service or, at the election of the taxpayer, the succeeding taxable year, but only if the building is a qualified low-income building as of the close of the first year of that period. The election to begin the credit period with the succeeding taxable year, once made, is irrevocable.

(e) "Designated reporter" means the project owner or 1 of the project owner's equity owners designated under subsection (11).

(f) "Eligibility certificate" means a certificate issued by the authority to each owner of a qualified project under subsection (4) stating the amount of the state tax credit that may be claimed for each year of the credit period.

(g) "Equity owner" means a person that has a direct or indirect interest in a project owner, provided the project owner is

a flow-through entity, as determined under applicable state law governing such an entity.

(h) "Federal credit" means the federal low-income housing tax credit authorized under section 42 of the internal revenue code, 26 USC 42.

(i) "Flow-through entity" means an entity that for the applicable tax year is treated as a subchapter S corporation under section 1362(a) of the internal revenue code, 26 USC 1362, a general partnership, a trust, a limited partnership, a limited liability partnership, or a limited liability company, that for the tax year is not taxed as a corporation for federal income tax purposes. Flow-through entity does not include any entity disregarded or treated as a corporation under section 699 of the income tax act of 1967, 1967 PA 281, MCL 206.699.

(j) "Manufactured in this state" means the following:

(*i*) For iron or steel products, all manufacturing processes, from the initial melting stage through the application of coatings, occurred in this state.

(*ii*) For manufactured products, the final point of manufacture for the finished product is a facility physically located within the borders of this state, regardless of the origin of the subcomponents or raw materials used in the assembly or production of said product.

(*iii*) For construction materials, all manufacturing processes for the construction material occurred in this state.

(k) "Person" means an individual, bank, financial institution, insurance company, association, corporation, flow-through entity, receiver, estate, trust, or any other group or combination of groups acting as a unit.

(*l*) "Project owner" means a person holding a fee simple interest or a leasehold interest pursuant to a ground lease in the land on which a qualified project is located.

(m) "Qualified allocation plan" means the plan developed by the authority, as required under section 22b, for evaluating and selecting projects for the federal credit pursuant to the mandates and requirements within section 42 of the internal revenue code, 26 USC 42. Qualified allocation plan includes an alternative allocation plan developed by the authority for projects described under section 42(h)(4) of the internal revenue code, 26 USC 42.

(n) "Qualified low-income building" and "qualified basis" mean those terms as defined under section 42 of the internal revenue code, 26 USC 42.

(o) "Qualified project" means a qualified low-income building that is located in this state, is placed in service on or after January 1, 2027, and for which the authority reserves a state tax credit under subsection (2).

(p) "Reserved credit amount" means the amount determined by the authority and stipulated in the notice sent to each project owner of a qualified project under subsection (2).

(q) "State tax credit" means a tax credit authorized to be claimed against an applicable tax under either section 279, 679, or 821 of the income tax act of 1967, 1967 PA 281, MCL 206.279, 206.679, and 206.821, or section 476a of the insurance code of 1956, 1956 PA 218, MCL 500.476a.

Enacting section 1. This amendatory act does not take effect unless all of the following bills of the 103rd Legislature are enacted into law:

(a) Senate Bill No. 967.

(b) Senate Bill No. 968.